

through a higher salary or having paid off debts, which will free up extra cash in your budget for other things. When this happens, it is important to use this newfound money wisely.

If you can continue to live on a conservative budget when you begin making more money, prepare to see your wealth grow quickly. Unfortunately, too many people just increase their spending when they begin making more money. For example, if you spend five years paying \$500 a month toward your student loan, it is going to feel unbelievable when you pay it all off. Not only do you not have the debt anymore, but you also have an extra \$500 a month at your disposal.

An unwise decision that many people make in this situation is swapping out one financial burden for another. They think, "Well, I am already used to paying \$500 a month for something, so why don't I just get that sweet car I have wanted for \$500 a month in financing?" Don't be this person. It's not that you shouldn't treat yourself with something fun to celebrate the accomplishment of paying off your loans, but you can truly reward yourself by putting that money toward your future if you save or invest it. Or, if you do need a car, get an affordable one that is not going to eat up all 500 of your newfound dollars.

If you do find yourself with more money in your budget, direct it to your savings and retirement fund. If you plan on buying a house one day, you are going to need a down payment to get your foot in the door, so it is important to have a dedicated account for that purpose. Also, the amount of money you have in retirement is obviously decided by how much you contribute now. If instead of contributing 10% to your retirement you contributed 20%, 30%, or even 40%, you would have a much more fun retirement or could even retire early. While it's easy to slip into a mindset of "tomorrow is not guaranteed" or "YOLO" in order to justify